Shroff told him that his action was premature and that nothing of the kind should be considered at that stage. Smith felt that he had been most shabbily treated and Shroff did his best to pacify him and to await developments after he met the Viceroy. Shroff, Homi Mehta, Rustum Masani, and Smith dined at the Taj Mahal hotel and talked for more than two hours. They all impressed upon Smith the need to keep cool and avoid any kind of provocation and respond to any gesture of reconciliation from the Viceroy. 'He believes, and we have all agreed with him from the facts he placed before us, that the party who has done the real mischief is Taylor. He is furious with him, and my only fears are that he might get into another row as soon as he goes to his office in Calcutta… He is a strong man and will, I feel certain, give a determined fight to Government and expose their sinister intention of converting the Reserve Bank into a subordinate branch of the Finance Department.'[77]

At the end of it all, Smith got his KCSI and resigned in October 1936 and was granted eight months leave making his resignation effective from July 1, 1937. But how annoyed he was, and just how strongly he felt about the whole affair, is reflected in a letter to Shroff where he referred to the travesty of British justice and how he would have loved a judicial enquiry into the matter. 'My God how I would love to *smack* the Viceroy, Grigg, Taylor and all concerned.'[78] Norman was not happy to see Smith go but he was more concerned that the vacancy should not be filled by an Indian, something he wanted Grigg to ensure. In fact relations between the Central Board and the government did not improve much with Smith's exit. The board proposed a devaluation in November 1938 and the government was ready with Norman's support to dissolve the Board. The Bank of England with help from Grigg, and Taylor (who had become Governor) took steps to combat the move. It is pertinent and significant that in this case, Taylor was acting not on behalf of his Board but on behalf of the government.

Smith might have been more than miffed but it appears that even in the early years after independence, the perceptions of the ICS still served to influence how he was viewed within the top Indian echelons of the RBI. The episode about his portrait in the boardroom of the bank amply illustrates this fact. Till as late as the early 1990s, there was no portrait of Smith in the boardroom of the bank. By the time the issue of Smith's portrait was examined in the late 1980's, he was long dead. There was a